especially in organised manufacturing and in services, even while improving productivity in agriculture. The Survey ***calls for reforms***, including the expansion of infrastructure, better and more effective regulation, and improvements in access to land and finance that would encourage the entry and growth of business enterprises. The Survey suggests that unless India undertakes these reforms, it will grow far below potential, and risks fiscal strains and social unrest as more and more people fall behind.

The Survey is both an analytical document, as it tries to understand the current conjuncture in suggesting policy measures as well as a document recording data and government activities. It is both backward looking as well as forward looking. *And it is of the government since most of the authors are government servants, but also distanced from the government as it is meant to take a dispassionate view of the government's record over the past year and its policies going forward. These aspects of the Survey do not all sit easily together, nevertheless the authors of the survey manage the trade-offs every year.* I hope you get as much out of it as I did.

SUMMARY OF THE SURVEY

GROWTH AND OTHER MACRO AGGREGATES

While India's recent slowdown is partly rooted in external causes, domestic causes are also important. The strong post-financial-crisis stimulus led to stronger growth in 2009-10 and 2010-11. However, the boost to consumption, coupled with supplyside constraints, led to higher inflation. Monetary policy was tightened, even as external headwinds to growth increased. The consequent slowdown, especially in 2012-13, has been across the board, with no sector of the economy unaffected. Falling savings without a commensurate fall in aggregate investment have led to a widening current account deficit (CAD). Wholesale price index (WPI) inflation has been coming down in recent months. However, food inflation, after a brief slowdown, continues to be higher than overall inflation. Given the higher weightage to food in consumer price indices (CPI), CPI inflation has remained close to double digits. Another consequence of the slowdown